



Seminar paper

# Betting against beta

a study of proposition 1 & 2 in american equity markets

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### Abstract

This paper examines the market anomaly where stocks with higher betas tends to have lower alphas than those with lower betas. This is done by testing the proposition 1 and 2 from the paper: *Betting against beta* by Frazzini and Pedersen (2014). Using data from US equity markets we test proposition 1 by examining the relationship between beta and alpha to test for the presence of the market anomaly. To test proposition 2, we construct a BAB-portfolio to examine the performance of a strategy which exploits this market anomaly by going long on low beta stocks and short on high beta stocks. We find...

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# Chapter 1

## Introduction

### 1.1 Background

*[Person A]* — Describe the background and motivation for the analysis here.

### 1.2 Research Questions

- Question 1
- Question 2
- Question 3

# Chapter 2

## Data

### 2.1 Data Description

*[Person A]* — Describe your dataset here.

### 2.2 Data Cleaning

## Chapter 3

# Analysis

### 3.1 Exploratory Data Analysis

*[Person B]* — Perform and describe your exploratory analysis here.

### 3.2 Statistical Analysis

## Chapter 4

# Results

### 4.1 Visualisations

*[Person B]* — Present your results and plots here.

### 4.2 Key Findings

Summarise the key findings from the analysis.



# Chapter 5

## Conclusion

### 5.1 Conclusion

*[Person A or B]* — Summarise what you found and what it means.

### 5.2 Limitations

- Limitation 1
- Limitation 2

### 5.3 Future Work

Suggestions for further analysis or improvements.

### 5.4 References